

Ch#5:-

Merchandising → Trading

← Come from merchant.
The work of merchant is to buy and sell, so,

Merchandising Companies: to buy and sell products in a season.

⇒ That earn revenue by selling goods rather than service.

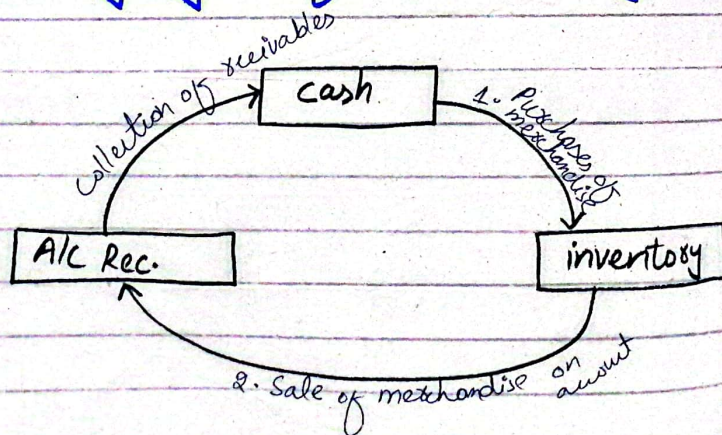
Inventory:

The goods that a merchandising company sells to its customers are called inventory / merchandise.

- Are assets
- Held for sale
- Tangible property

Goods owned and held for sale to customers

Operating cycle of merchandising company



Buy ← Process → Sell (RMG)

Goods: Something which has been purchased for resale purposes. Also called merchandise

Retailers

- Purchase goods from wholesalers
- Sell goods in smaller quantities to consumers
- Do business on different products
- Need less capital.
- 10% → Note payable
- 90% → cash

Wholesalers:

- Purchase goods from manufacturers
- Sell goods to retailers
- Need more capital
- Purchase goods in larger quantities
- 10% → cash
- 90% → Note payable.

Producers / manufacturers → Wholesalers → Retailers → Consumers

Approaches for merchandising / Inventory costing methods

⇒ Two approaches:

1. Perpetual inventory systems
2. Periodic inventory system

Percentage of discount

2/10, n/30

↓
2% discount if paid within 10 days, otherwise full amount due within 30 days.

↓
2% تخفیف اگر 10 روز میں دیا جائے، ورنہ 30 دنوں میں پورا رقم دینا ہے۔

Disclosed
ماتر کے لئے
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Perpetual inventory Systems

→ continuously update inventory

- ⇒ Transactions are recorded as they occur or continuously.
- ⇒ Accounting records are kept perpetually up-to-date. COGS is calculated immediately upon each sale.
- ⇒ Record changes in inventory with every purchase and sales.
- ⇒ Real-time updates
- ⇒ Expensive

General journal

Date	Account titles and explanation	Debit	Credit
	Entry on Purchase date		
	Inventory	\$\$\$	
	Account payable/cr		\$\$\$
	Entry on sale date		
	A/c Rec/cash	\$\$\$	
	Sales		\$\$\$
	Cost of goods sold	\$\$\$	
	Inventory		\$\$\$

Periodic inventory Systems

→ update at the end of period (1 month, Annual)

- Alternative of perpetual system.
- Does not continuously update inventory records with every transaction.
- Accounting records are up-dated only "periodically" - usually at the end of year.
- Inexpensive & easy
- Not satisfactory
- Less accurate & risk of inventory loss

When merchandise purchased:

Purchase → Dr

A/c payable → Cr

When merchandise sold:

A/c Rec/cash → Dr

Sales → Cr

⇒ No entry is made to record the cost of goods sold.

Some Rules

Discount, ہمیشہ خرید سے متعلق ہوتا ہے matter ہے۔
Sale کرتے ہوئے نہیں ہوتا ہے۔

⇒ When the company gets credit and also offers discount, then all merchandises companies record their purchases in 2-ways:

Net method cost

→ Purchases are recorded at their net amount

→ Purchase discount lost are recorded when payment is made outside discount period.

اگر discount avail ہے تو
Purchase discount lost

for bill pay ← Better method

Gross invoice method

Discount Show nhi krty
within period, si
Avail disc
Purchases are recorded at their gross amounts/full payment
Purchase discount taken are recorded when payment is made

e.g. A business owner's personal assets and liabilities are not included in the business's financial statements.

Define cash discount? (reduction in the invoice amount)

⇒ it is a deduction or allowance given by a creditor to a debtor if the amount is paid by the debtor before the due date.

⇒ This discount is typically expressed as a percentage of the total invoice for early payment and is meant to encourage customers to pay their bills more quickly, improving the seller's cash flow.

example:

if a company issues an invoice for \$1,000 with terms "2/10, net 30" the buyer can pay \$980 (a 2% discount) if they pay within 10 days. if they pay after 10 days but within 30 days, they must pay the full \$1000.

Q- Define trade discount?

Discount allowed by manufacturers or wholesalers at the time of selling goods to retailers as a deduction from list price or catalogue price is called trade discount.

Typically given to encourage bulk purchases or to establish a business R/s.

- Trade discounts are not recorded separately in the accounting records.

example:

- The regular price of the laptop is \$1000. However, the store is offering a 10% trade discount if you buy it today.

List price = \$1,000

Trade discount = 10%

Discount amount = $\$1000 \times 10 = \100

Net price = $\$1000 - \$100 = \$900$

Define Purchases?

- Saleable goods are brought in a business then it is said purchases have been made.
- Acquisition of goods or services for resale or use in the business.
- They can be either cash purchases or credit purchases.

ex:

A grocery store buys a shipment of apples from a supplier. The cost of the apple is \$1,000.

- if the store pays cash:

Purchases → Dr

Cash → Cr

- if the store buys on credit:

Purchases → Dr

A/c payable → Cr

Define sales.

The goods are purchased for selling purposes. When these goods are sold to customers at a specific price, it is said that sales have been made.

- Revenue generated by a business from the sale of goods or services. It represents the income earned.

ex:

A clothing store sells a pair of jeans for \$50.

Cash / A/c Rec. → Dr

Sales Revenue → Cr

Carriage:

Carriage is expense. Transport charges on goods purchased or sold.

Q. Define return outwards?

⇒ Goods once purchased may subsequently be sent back to the seller (i) for certain reasons. Goods for defective not according to specification, damaged or below standard. Such return of goods to the seller known as return outwards. Purchase return.

ex:

Q. Define return inwards?

⇒ If a customer to whom goods have been sold finds that the goods are defective, unsatisfactory, below standard or not according to specification, damaged or below standard, he (ii) may return these goods to the seller. To the seller such return of goods is known as sales return.

ex:

Chapter #5:-

Merchandising Some Concepts:

Merchandising Companies:

⇒ A merchandising company is a company that buys goods and then resells them, generally for a higher price than they were purchased.

⇒ There are two types of companies

1. Retail

2. Wholesale

Operating Cycle:

Transactions through which a business generates its revenue and its cash receipts from customers is called the operating cycle.

Operations:-

⇒ The operating cycle of a merchandising company consists of the following basic transactions:

1. Purchases of merchandise

2. Sales of the merchandise, often on account

3. Collection of the accounts receivable from customers.

4. Sales Returns and allowances
5. Sales Discounts
6. Delivery expense

Perpetual System

- Purchases of merchandise are considered as inventory. Recorded as:
 Inventory — Dr
 A/c payable/cash — Cr
- When merchandise is sold, two entries are necessary:
 A/c Rec. — Dr
 Sales — Cr
 Second entry
 Cost of goods sold — Dr
 Inventory — Cr
- Payment of A/c payable to Suppliers:
 A/c payable — Dr
 Cash — Cr
- Collection of A/c Rec. from customers
 Cash — Dr
 A/c Rec. — Cr
- Creating year-end balances for COGS & inventory Accounts
 ↳ No entry necessary
 Cost of goods sold
 inventory (shrinkage amount)

Taking a Physical Inventory

Perpetual inventory system is continuously updated for all purchases and sales of merchandise.

When a physical inventory is taken, management uses the inventory ledger to decide on a product-by-product basis. either they are according to the physical count of the inventory on hand.

• Inventory shrinkage:

Over time normal inventory shrinkage may cause some differences between the quantities of merchandise in records and on hand.

it refers to unrecorded decreases in inventory resulting from such factors as breakage, spoilage, employee theft and shoplifting.

• Taking a Physical inventory

In order to ensure the accuracy of their perpetual inventory records, most corporations are:

Required to take a complete physical count of the merchandise on hand at least once a year. This procedure is called taking a physical inventory, and it usually is performed near Year-end.

$$\text{Shrinkage} = \text{Recorded} - \text{on hand}$$

inventory

Periodic System

• Purchase:

Purchases — Dr

A/c payable / cash — Cr

• Sale of merchandise

A/c Rec / cash — Dr

Sales — Cr

• Settlement of A/c payable to suppliers

A/c payable — Dr

cash — Cr

• Collections from credit customers

Cash — Dr

A/c Rec. — Cr

Creating Year-end balances for COGS & inventory

⇒ Inventory (ending) — Dr
Cost of Goods Sold — Dr
Inventory (beginning bal) — Cr
Purchases — Cr

To close the purchases and inventory balances to the COGS account:

⇒ Inventory (ending balance) — Dr
COGS — Cr

Credit terms & cash discounts:

• The credit terms are stated in the seller's bill, or invoice.

n/30 — payment is due within 30 days.

10/eom — payment is due 10 days after the end of month.

• Credit terms offered by manufacturers and wholesalers are:

2/10, n/30, 5/20, n/30

read as: "2, 10 net 30", "5, 20, net 30".

means that:

full payment is due in 30 days, but that the buyer may take a 2% discount if payment is made within 10 days.

Cash discount:

The period during which the discount is available is termed the discount period. Early cash payment, it is called cash discount.

- Buyers, refer these discounts as purchase discount.
- While seller frequently call them sales discount.

Notes Net Cost Price:

The Companies initially record purchases of merchandise at the net cost.

$$\text{Net cost} = \text{invoice (original) price} - \text{discount}$$

- if after discount period payment:
A/c payable — Ds
Purchase discount lost — Ds

if within discount period: cash — Cr

A/c payable — Ds
cash — Cr

Gross invoice price:

- Recording purchases the gross (total) invoice price.

- if within discount period:

A/c payable — Ds
cash — Cr

Purchase discount taken — Cr

- if after discount period: A/c payable — Ds
cash — Cr

Returns of unsatisfactory merchandise:

A/c payable — Ds
Inventory — Cr

(if discount avail then calculate)
Purchase

Net Sales:

Revenue shown in the income statement of a merchandising concern is often called net sales.

$$\text{Net sales} = \text{total sales revenue} - \text{sales returns \& allowances} - \text{sales discount}$$

Sales returns and Allowances

Sales return & allowances — Dr
 A/c Rec (cash) — Cr

Second entry:

Inventory

Cost of Goods Sold

Sales Discount:

The seller records the sale and the related A/c Rec. at the gross (full) invoice price.

A/c Rec. — Dr

Sales — Cr

• if Pays within the discount period then:

Cash — Dr

Sales discount — Dr

A/c Rec. — Cr

Delivery Expenses:

Expense — Dr

Cash — Cr

Inventory shrinkage:

Cost of Goods Sold — Dr (shrinkage amount)
Inventory — Cr (shrinkage amount)
only calculated when a company uses perpetual system

Accounting for Sales Taxes:

• Sales taxes are imposed by states on retail sales.

• Actually imposed on the consumer, not on the seller.

Cash / A/c Rec. — Dr

Sales Tax payable — Cr

Sales — Cr

(To record sales of \$\$\$ > subject to % sales tax)

Gross Profit:

Net sales

• Less cost of sales
Gross Profit

• Gross profit rate = Gross Profit / Net sales

Payment within discount period:

A/c payable — Dr

Inventory — Cr (Discount)

Cash — Cr

Example #1

Mar 7 Spokes purchased ten street pedalers on account at 1050 each, terms were 2/10, n/30.

Mar 12 Spokes returned two street pedalers which were damaged.

Mar 12 Spokes paid freight on the purchase, \$450 cash.

Mar 15 Spokes sold fourteen street pedalers on account at \$1540 each terms were 2/10, n/30. In making cost of goods sold entry, use a cost of \$1050.

Mar 17 Paid amount owed on credit purchase of March 7.

Mar 25 Granted a sales allowance of \$100 on the March 15 sale.

Mar 31 Collected the amount due from the March 15 sale.

Date	Detail	Dr	Cr
Mar 7	Inventory	10500	
	A/c payable		10500
	(10 x 1050 = 10500)		

Mar 12	A/c payable	2100	
	inventory		2100
	(2 x 1050 = 2100)		
Mar 12	Inventory	450	
	cash		450
Mar 15	A/c Rec.	21560	
	sales revenue (14 x 1540)		21560
	Cost of goods sold	14700	
	inventory		14700
	(14 x 1050 = 14700)		
Mar 17	A/c payable	8400	
	cash		8282
	inventory		168
Mar 25	Sales Allowance	100	
	A/c Rec.		100
	Cash	21460	
	A/c Rec.		21460

Example #2: (Prepare journal entry using both systems)

Aug 1 Sold tables to Ali construction \$15500 on account. The inventory subsidiary ledgers shows the cost of merchandise was 13200.

Aug 9 Purchased tables on account from Sultan & Co for \$4000 on 7/30, 2/10.

Aug 12 Collected in cash the \$13000 account Rec. from Ali construction.

Aug 14 Paid the amount owed to Sultan & Co.

Aug 31 LIZC personnel's counted the inventory on hand and determine its cost to be \$185,000. The accounting records however indicate inventory of \$187,000 and Cost of goods sold of \$795,000

Beginning inventory = 185,000
 Add EI
 Less Purchases
 = 185,000 + 4,000 - 185,000 = 976,000

Perpetual

Date	Detail	Dr	Cr
	Alc Rec.	15500	
	sale revenue		15500
	Cost of goods sold	13200	
	inventory		13200
	Inventory	4000	
	Alc payable		4000
	Cash	13000	
	Alc Rec.		13000
	Alc payable	4000	
	Cash		3920
	inventory		80
	Cost of Goods sold	2000	
	inventory		2000
Entry 1, 9, 12, 14 are same like perpetual for periodic.			
Aug 31	Cost of Goods sold	795,000	
	Inventory (beginning)	185,000	
	Purchases		4,000
	Inventory (ending balance)		976,000

Q. (5-5) (Page #262)

Given: Beginning inventory (Last Year's ending inventory) = \$1700

Purchases = \$31,000

Ending inventory (This Year's ending inventory) = \$2800

$$\text{COGS} = 1700 + 31000 - 2800 = 29900$$

(a)

Inventory shrinkage

Accounting errors

Errors in physical count

(b)

Loss from inventory shrinkage 6500
inventory 6500

Q. (5-7) (Pg #262)

(a)

Beginning inventory = \$6700
Purchases = \$81500
Ending inventory = \$4400

Determine through physical count - counting all items in the inventory at specific date

(Dec 31st for both 1993 & 1994).

(b)

$$\text{COGS} = 6700 + 81500 - 4400 = 83800$$

(c)

Hasan's Gift Shop

Partial income statement

Dec 31, 1994

Net sales = 160,400

Cost of goods sold: 83800

Gross loss (76600)

Q. (5-13) (Page 264)

Given: gross sales revenue = 2490,000

Cost of goods sold = 1,248,000

Sales return & allowances = 59000

Sales discounts = 31000

Net sales:

Net sales = Gross sales revenue

Less sales return & allowances

Less sales discount

2390,000

Gross profit

$$\begin{aligned} \text{Gross Profit} &= \text{Net sales} - \text{COGS} \\ &= \$2,400,000 - \$1,248,000 \\ &= \$1,152,000 \end{aligned}$$

$$\begin{aligned} \text{Gross Profit rate} &= (\text{Gross Profit} / \text{Net sales}) \times 100\% \\ &= (1,152,000 / 2,400,000) \times 100\% \\ &= 47.82\% \end{aligned}$$

Q. (5-14) (Page 264)

College Bookstore: (Ex: 5-14)

Inventory	5000
A/c payable	5000
(To record return of merchandise to McGraw-Hill)	
McGraw-Hill:	
Sales returns & allowances	5000
inventory	3900
COGS	1100

(To record return of merchandise from college bookstore).

Page 264#
(Ex: 5-15)

$$\begin{aligned} \text{Given: sales tax rate} &= 5\% \\ \text{Total sales} &= 326,025 \\ \text{Sales tax owed} &= 326,025 \times 5\% \\ &= 16,301.25 \end{aligned}$$

Sales tax expense	16301
Sales tax payable	16301

(Page #263) (5-12)

(a)		(c)
• A/c Rec.	7500	A/c payable 7350
Sales revenue	7500	Purchase lost 1500
Cost of Goods sold	4100	cash 7560
Inventory	4100	
• Cash	7350	
Sales discount	150	
A/c Rec.	7500	
(b) Journal entries for the sale		
• Inventory	7350	
A/c payable	7350	
A/c payable	7350	
cash	7350	
 Purchase lost		